Category

Asset-Backed Security (ABS) Instrument and Market Features

COVERED BONDS

Learning Outcome

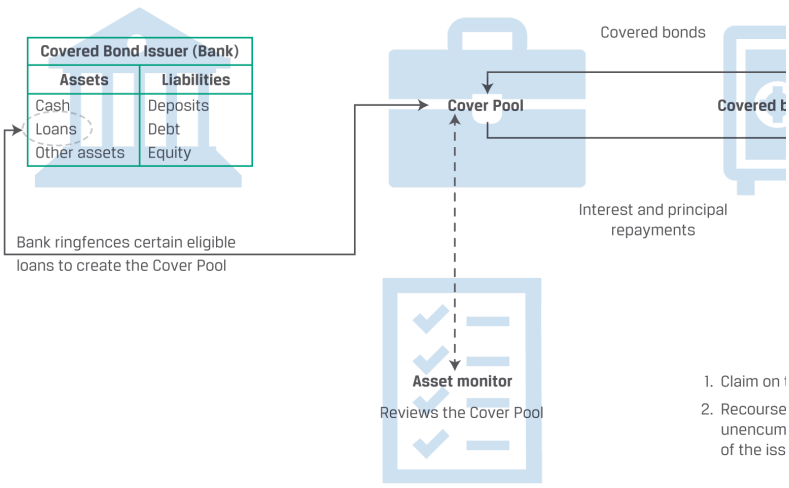
- describe characteristics and risks of covered bonds and how they differ from other asset-backed securities

Covered bonds, which we touched on in earlier readings, are senior debt obligations issued by a financial institution and backed by a segregated pool of assets that typically consist of commercial or residential mortgages, or public sector assets. Covered bonds that are backed by ships and commercial aircraft have also been issued.

The covered bond (or *Pfandbrief* in German) originated over 250 years ago in Prussia and has been adopted by issuers in Europe, Asia, and Australia. Each country or jurisdiction specifies eligible collateral and structures permissible in the covered bond market, and the European Union is taking steps to harmonize these elements among its member states. Exhibit 1 provides a typical structure for a covered bond transaction.

Exhibit 1:

Covered Bond Transaction Structure



▶ Expand / collapse Extended Description

Covered bonds are similar to ABS. However, the loans remain on the issuer's balance sheet and are ringfenced into a separate cover pool. The investors in the covered bonds have dual recourse in case of bankruptcy: first on the ringfenced loans in the cover pool that underlie the covered bond transaction, and second on the unencumbered assets of the issuing institution.

Covered bond transactions financing environmental remediation projects and investments in renewable energy production and infrastructure are increasingly popular. The cover pools for these green covered bonds are largely made up of mortgages to green buildings, which can be identified through various green building certification standards.

Typical covered bond terms issued by Commercial Finance Partners are found in Exhibit 2. The mortgages underlying the transaction remain on its balance sheet.

Issue of EUR30 Million 2.00% Prospectus Summary	
Issuer:	Commercial Finance Partners AG
Issue Size:	EUR30,000,000
Tranche Size:	EUR30,000,000
Interest Rate:	2.00%, payable annually on June 30.
Settlement Date:	[T + 3 Business Days]
Maturity Date:	[Twenty Years from Settlement Date]
The Collateral:	Security in a pool of prime, fully amortizing mortgages.
LTV Cut-off:	80%
Format:	Soft bullet

Covered bonds usually consist of one bond class per cover pool. Another important feature lies in the dynamic nature of the cover pool. The assets in the pool are monitored by a third party for performance and adherence to underwriting standards. Moreover, the covered bond issuer must replace any prepaid or non-performing assets (i.e., assets that do not generate the promised cash flows) to ensure sufficient cash flows until the maturity of the covered bond.

Covered bonds offer two additional tools to mitigate the risks of investors. First, covered bond transactions typically involve collateral underlying the transaction which exceeds the face value of the issued bonds, referred to as **overcollateralization**. For instance, Germany requires that all covered loan collateral pools are overcollateralized by at least 2% of the economic value of the outstanding covered bonds and some German issuers voluntarily overcollateralize their covered bond issues. Second, the loan to value (LTV) on the mortgages included in the transactions must meet certain standards to be eligible for inclusion in the pool. If a mortgage fails to meet the LTV criteria, it is replaced with another mortgage that meets the criteria.

Redemption regimes exist to align the covered bond's cash flows as closely as possible with the original maturity schedule in the event of default of a covered bond's financial sponsor. For example, in the case of **hard-bullet covered bonds**, if payments do not occur according to the original schedule, a bond default is triggered and bond payments are accelerated. **Soft-bullet covered bonds** delay the bond default and payment acceleration of bond cash flows until a new final maturity date, which is usually up to a year after the original maturity date. **Conditional pass-through covered bonds**, in contrast, convert to pass-through securities after the original maturity date if all bond payments have not yet been made.

Covered bonds have remained a relatively stable and reliable source of funding over time because of their dual recourse nature, strict eligibility criteria, dynamic cover pool, and redemption regimes in the event of sponsor default. As a result, covered bonds usually carry lower credit risks and offer lower yields than otherwise similar ABS.

EXAMPLE 1

Comparing Covered Bonds and ABS at Banks

"Ultimately, covered bonds and ABS are complements, not substitutes. ABS are a vehicle for packaging and selling exposure to private credit risk, with the promise of the higher returns that holding such risk entails. Covered bonds are a means for banks to raise long-term funding at a lower cost than if they issued unsecured debt. The assets underlying a covered bond simply enhance the issuer's promise to pay back the loan and are not intended to offer exposure to the underlying pool of assets. "These differences between the two instruments are reflected in their payment

"Although there may be disadvantages to banks selling the loans that they originate, there are also advantages. Securitization increases the financial system's capacity to lend in a way that covered bonds do not. By moving loans off the originating bank's balance sheet, securitization reduces the amount of capital (reserves) that the bank must hold to back its loans. As a result, banks can make more loans with the same amount of capital. Covered bonds, which keep the loans on the banks' balance sheets, do not offer this benefit."

Source: Brett W. Fawley and Luciana Juvenal, "Coming to America: Covered Bonds?" Federal Reserve Bank of St. Louis *Economic Synopses* 20 (July 2012). https://research.stlouisfed.org/publications/economic-synopses/2012/07/27/coming-to-america-covered-bonds/.

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Question Set

1. *Determine whether the following statement is true or false, and explain your reasoning.*

   In covered bond transactions, loans in the cover pool stay on the issuer's balance sheet.

   Hide Solution

   Solution:

   True. While covered bonds are similar to ABS, the loans composing the covered bond collateral remain on the issuer's balance sheet and are ringfenced into a separate cover pool.

2. *Determine the correct answers to fill in the blanks:* To further _____ investor risks, covered bond transactions are typically _____ to some _____ percentage of their cover pool's economic value.

   Hide Solution

   Solution:

   To further *reduce* investor risks, covered bond transactions are typically *overcollateralized* to some *greater* percentage of their cover pool's economic value.

3. Identify the covered bond type that corresponds to its correct characteristic:

   i. New form with payment lapse
   ii. Quickest triggering of defaults
   iii. New maturity date with payment lapse

A. Hard-bullet	
B. Soft-bullet	
C. Conditional pass-through	

Hide Solution

Solution:

A. Hard-bullet	ii. Quickest triggering of defaults
B. Soft-bullet	iii. New maturity date with payment lapse
C. Conditional pass-through	i. New form with payment lapse

B. ii is correct. Soft-bullet bonds delay the bond default and payment acceleration of bond cash flows until a new final maturity date, which is usually up to a year after the original maturity date.

C. i is correct. Conditional pass-through bonds convert to pass-through securities after the original maturity date if all bond payments have not yet been made.

4. Which of the following statements about covered bonds is correct?

A. Covered bonds have a single recourse nature.
B. Covered bonds have lower credit risk and offer lower yields than otherwise similar ABS.
C. Covered bonds are removed from the issuer's balance sheet and are ringfenced into a separate cover pool.

Hide Solution

Solution:

The correct answer is B. Covered bonds have remained a relatively stable and reliable source of funding over time because of their dual recourse nature, strict eligibility criteria, dynamic cover pool, and redemption regimes in the event of sponsor default. As a result, covered bonds usually carry lower credit risks and offer lower yields than otherwise similar ABS.

A is incorrect because covered bonds have a dual recourse nature. The investors in the covered bonds have dual recourse in case of bankruptcy: first on the ringfenced loans in the cover pool that underlie the covered bond transaction, and second on the unencumbered assets of the issuing institution. C is incorrect because the loans remain on the issuer's balance sheet and are ringfenced into a separate cover pool.

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